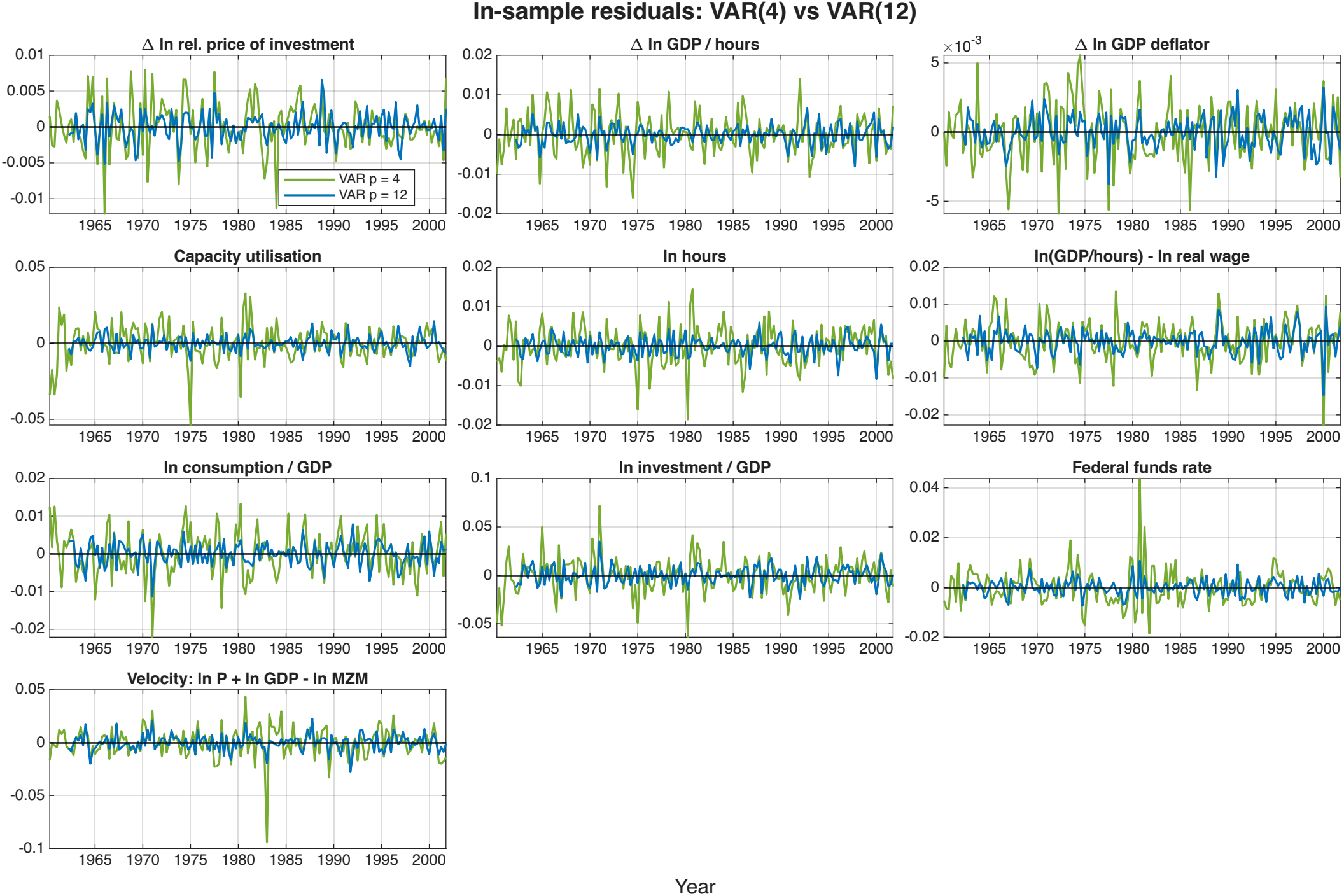

In-sample residuals: VAR(4) vs VAR(12)
Δ ln rel. price of investment
Δ ln GDP / hours
Δ ln GDP deflator
×10-3
Capacity utilisation
ln hours
ln(GDP/hours) - ln real wage
ln consumption / GDP
ln investment / GDP
Federal funds rate
Velocity: ln P + ln GDP - ln MZM
VAR p = 4
VAR p = 12
Year